Category

Analyzing Statements of Cash Flows I

INTRODUCTION

The statement of cash flows provides important information about a company's cash receipts and cash payments during an accounting period, reconciling the cash accounts between balance sheet dates. Although the income statement provides similar measures on an accrual basis, cash flows and their timing are crucial to valuation as payments to investors are made in cash. Investors also use statement of cash flows to evaluate the company's liquidity, solvency, and financial flexibility. In this module, we discuss the components of the cash flow statement and its links to the other financial statements.

Learning Module Overview

- Understanding the interrelationships among the balance sheet, income statement, and cash flow statement is useful not only in evaluating the company's financial health but also in detecting accounting irregularities.
- The income statement and statement of cash flows provide key linkages between the current assets and current liabilities sections of the balance sheet.
- Companies can use either the direct or the indirect method for reporting their operating cash flow:
- The direct method discloses operating cash inflows by source (e.g., cash received from customers, cash received from investment income) and operating cash outflows by use (e.g., cash paid to suppliers, cash paid for interest) in the operating activities section of the cash flow statement.
- The indirect method reconciles net income to operating cash flow by adjusting net income for all non-cash items and the net changes in working capital accounts.
- Although the indirect method is most common, an analyst may desire to review direct-format operating cash flow to review trends in cash receipts and payments, such as cash received from customers or cash paid to suppliers.
- Cash flows from operating activities reported under the indirect method can generally be converted to an approximation of the direct format by following a simple three-step process.
- Cash flows from investing activities and from financing activities are both reported using a direct method, regardless of the method used for reporting operating cash flows.
- Compared with US GAAP, the International Financial Reporting Standards (IFRS) allow more flexibility in the classification of items as operating, investing, or financing activities, such as interest paid or received and dividends paid or received and in how income tax expense is classified.

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